

7th January 2019

To the Partners of Mensarius,

In 2018, the **Mensarius Equity strategy** returned -11.36%, which brings the 10-year annualised return to +12.17%. The **Mensarius Europe ex UK Equity strategy** had a return of -8.68% and an annualised return of +1.29% since inception.*

The start of 2018 offered relatively benign market conditions, but sentiment shifted in Q4 to drive all the major indices into the red. The basket of issues to worry about is well stocked. Tariffs resulting from global trade tensions have the potential to slow economic activity, drive up inflation, and pressure business margins and profitability. Meanwhile, the continued rise in populism in many European countries creates a more uncertain investment environment. With just three months until the Brexit deadline, the situation in the UK remains unresolved. In Italy, the government has presented a budget that at any time could trigger financial instability. And in France, a social movement that initially flared up in protest against the imposition of a tax on diesel fuel is threatening President Macron's much-needed structural reform agenda.

But perhaps above all, fears of an economic cycle entering its last phase after years of recovery have pressured the prices of equities and other risky assets. Inevitably, our holdings are not immune to the impact of such market sentiment. Among our worst performers this year, most operate in cyclical industries, with the likes of NKT, Nilfisk and Weir Group likely to see their short-term earnings affected by a contraction of the economy.

Generating returns across cycles

Investors' ability to generate attractive and consistent returns over time does not depend on being able to call the peak of a cycle. History teaches us that predicting a downturn is as elusive as forecasting short-term stock market fluctuations. We believe the only way to compound wealth over time is to deploy capital to those companies where we can assess the fair value with a high degree of certainty, and acquire them at a price that provides a sufficient margin of safety to their fair value. The value of a business, as for any real asset, does not depend on its profit in any given year, but is a function of its cash generating ability under normal circumstances i.e. its earning power.

During this period of heightened uncertainty, our energy, as always, is fully directed toward seeking out business models with the qualities to sustain that earning power. In a nutshell, what we look for is companies with a moat that protects their competitive position, structurally resilient demand and a low level of debt that ensures they can weather business cyclicity unscathed. The volatility displayed of late by Mr Market can provide us with opportunities to purchase such businesses at what we consider to be the right price. As such, we have been able both to initiate new positions in companies such as SAF-Holland and Duerr, and add to some of our existing holdings.

SAF-Holland is a global producer of critical components for trailers – mostly axles and suspension systems, kingpins, fifth wheels and landing gears. The company generates a high level of profitability and cash flow throughout the cycle.

The structural factors underpinning the franchise's profitability explain our conviction about its sustainability over the long term. Across its product range and geographies, SAF-Holland either leads or is part of oligopolistic markets where three players hold more than a 90% market share. This kind of scale leads to lower production costs, high levels of innovation and after-market leadership. It also creates a barrier to entry both to newcomers that would like to copy its business and to trailer manufacturers that would like to make such products in-house.

SAF-Holland's strategy of focusing only on the most critical trailer components where quality matters (e.g. weight, fuel efficiency, safety) places the franchise in the value chain sweet spot. A recent meeting with CEO Detlef Borghardt revealed that SAF-Holland spent nearly a decade and millions of Euros in recalls to develop the know-how and quality that is the foundation of the market position and reputation the company enjoys globally today. We see no reason why competitors with similar ambitions to build large-scale disc brake axles would find it any easier than the market leader SAF-Holland. At a plant visit we also witnessed the lean manufacturing system that SAF-Holland developed after the last industry downturn. A combination of component outsourcing and flexible labour force has resulted in a much more flexible cost base that SAF-Holland can adjust to demand much faster than before. This should help to smoothe the impact of the cycle.

SAF-Holland's shares have been under heavy pressure as the stock market weighs the possibility of a downturn in the highly cyclical truck market, offering us the opportunity to buy at a discount. We are fully aware that our earnings would be pressured if a downturn were to happen. Nevertheless, a downturn should impact SAF-Holland much less than the overall trailer market, as about half the company's earning power stems from the spare parts after-market, and any pressure on earnings would be transient. It would not affect the fundamental value of the business, which is grounded in the structural elements we just mentioned. Plus, we not only believe in the franchise's resilience, but figure it will expand over time, driven by a shift from drum brake to disc brake axles in the United States, and by the introduction of regulation in China limiting the weight of fully-loaded trailers, which should foster durable demand for higher-end trailer systems.

Fear of a down cycle in the auto sector has also given us the opportunity to deploy cash in Duerr. We have had an eye on the company for a long time, but were unable to invest due to its valuation. Duerr is the world's leading provider of plant and mechanical engineering solutions, with market shares ranging from 25% to more than 50%. It serves mostly the automotive industry and, following a transformative acquisition in 2014, the furniture industry.

Setting up auto assembly plants, painting or woodworking lines is highly complex. As a consequence, the industry is concentrated in the hands of a few players capable of delivering the quality and reliability required. The amount of investment at stake for their customers and the cost implications if these plants malfunction raise switching costs, preventing outsiders from entering the market. Duerr also has an advantage over its direct peers as it not only has mastered the assembly and installation of systems, but produces its own robots and invests considerably in software capabilities, which will be key to staying competitive in the industry 4.0 era. For example,

Duerr is the only supplier spanning all components in automobile paint systems. This provides the company with an insight into the entire paint process, leading to a superior product with better

efficiency than its competitors. These advantages were demonstrated in a recent visit to Duerr's plant in Germany, when we had the opportunity to inspect the robot assembly and testing facilities of the paint lines. We think such capabilities will help the company protect its position for years to come.

Unlike the market, we do not try to estimate the level of order intake next year or the year after. We think what really matters is the resilience of long-term demand. The constant competition that forces Duerr's clients to continuously invest in their manufacturing capability to improve efficiency, an auto industry that will have to be equipped with lines that need to accommodate both the assembly of electrical and combustion power trains, and a world where manufacturing will rely less on cheap labour and more on automation should provide fertile ground for demand for Duerr's services. With this perspective, we can use current cycle fear to snap up the opportunity to invest in a high-quality company at a bargain price.

Over a three to five-year investment horizon, the stock of these two companies should revert to their fundamental earning power value, enabling us to reap good returns at a low risk of losing capital. The name of the game is not only to find new businesses to invest in, but to ensure that at all times we only own companies we would be fine holding throughout a downturn.

On that basis we disposed of our NKT holding this year. After spinning off its high-quality professional cleaning franchise Nilfisk, we were left with the capital-intensive cable business. Tendering activity levels have been stubbornly slow in the high voltage cable business, despite the potentially large number of projects that should materialise in the medium term. Before the spin-off, the highly cash generative professional cleaning segment of Nilfisk provided NKT with stable cash flow to weather the order cycles. Unsure whether the company's balance sheet could endure much longer delays in order intakes, and mindful of the price pressures that such delays are causing in the cable market, it became harder for us to determine what kind of earning power NKT was able to sustain. We disposed of the NKT shares as a result, but kept Nilfisk.

Takeover bids

Amer Sports Oyj and Shire Plc both contributed positively to the fund's performance this year after receiving takeover bids from competitors. We wanted to share our thoughts on these two cases and outline our views about M&A in general.

At Mensarius, we invest with the mindset of business owners. As such, we are happy to get bids that will help us create significantly more value at meaningfully lower risk than we would have on a standalone basis over a long period of time. But that requires an appropriate price paid in a safe currency.

With that lens, the proposition received from Takeda for Shire ticks the boxes of what we do NOT like to see as minority shareholders. First, we believe the quality of Shire's blood plasma franchise and its ability to compound over time is not reflected in the price offered. Second, the payment of about half the consideration in highly levered Takeda shares does not constitute for us an appropriate currency with which to be paid.

Shire is the leading global biotechnology company focused on rare diseases that affect a relatively low number of patients (a rare disease – 50% of which affect children – affects 1 in 2,000 patients or less, is mostly chronic, progressive, degenerative and often life-threatening, and has no existing effective cure). The moat protecting the franchise's superior profitability is very robust, as it rests on both the nature of the market and Shire's structural competitive advantages. Shire's focus on a couple of limited areas leads to scale advantage in both R&D capabilities and distribution. Its expertise in under-represented therapeutic areas also warrants superior profitability, since the overall level of competition in these markets is lower. In fact, the plasma derivatives sector is an oligopoly dominated by three players. The hard-to-replicate infrastructure for the collection and fractionation of plasma needed to compete in that field helps prevent outsiders from entering the market. Faster approval processes, thanks to fast-track status granted to drugs in these under-researched therapeutic areas, helps profitability as well.

We have not read convincing arguments that would strategically justify the Takeda bid. We believe this deal to be opportunistic, with the Japanese firm taking advantage of Shire's stock price weakness. We do not negate the headwinds Shire is facing, as competition in the haemophilia segment is fiercening and several of its products are going off patent. But as is sometimes the case with the stock market, the pendulum has swung to excessive pessimism and overlooks the structural strength of the Shire franchise. We bought shares in March 2018 as our assessment of the company's fair value, accounting for most of the earning power of off-patent drugs vanishing, was higher than both the pre-bid market prices and the takeover bid by a healthy margin.

Yet while this deal fuelled discontent from numerous Takeda's shareholders, who rightly voiced their concerns about ending up with a considerable pile of debt on their book, it has been massively accepted by Shire Plc shareholders. In fact, Mensarius is one among the 1% of Shire's shareholders to rebel against the proposal. We are not surprised by the result, fully aware that the short-term gains triggered by the bid premium would satisfy most market participants. We believe this to be a reflection of the myopia that characterises the market, which puts too much emphasis on short-term earnings at the expense of underlying long-term earning power.

Shire has been a successful investment for Mensarius' partners. It returned more than 40% almost instantaneously. Nevertheless, we believe that came at the expense of a relatively safe double-digit annual return for many years to come.

Looking at our ownership in Amer Sports demonstrates how powerful compounding can be. Since our initial purchase in 2002, the stock has returned about 14% p.a., multiplying our initial investment by more than 7.5 times.

On 11 September 2018, Anta Sports Products and a consortium of partners, including the internet giant Tencent, announced their intention of acquiring Amer Sports. As mentioned earlier, for us both price and the currency need to be right. The €40 per share paid by the consortium values Amer Sports at about €5.5bn, which we believe accounts for more than the company would have expected to achieve on a standalone basis. We understand the price proposed by these major Chinese corporations factors in their ability to open the door of the Chinese market to Amer Sports'

products, and so justifies the investment. Without pre-judging their ability to succeed, we can easily see the deal has the sort of industrial grounding the Shire acquisition lacks. In addition, the consideration will be paid entirely in cash. We are therefore happy to see our oldest holding exiting the portfolio after years of contributing to value creation.

In a world where an increasing amount of the daily traded volume is undertaken with money from ETF funds or other passive or short-term investment vehicles that focus on daily price movements and pay no attention to the actual business, excellent investment opportunities present themselves to the patient investor. Investors may have to endure some volatility, but it is this volatility that provides the investment opportunities. Hence investors should not be nervous about volatility, but embrace it as a chance to sow the seeds of a good future return.

We never attempt to predict where the stock market will go during the coming year. Companies like SAF-Holland, Duerr, Shire Pharmaceuticals and Amer Sports are just some examples of portfolio holdings with franchises and balance sheets that will weather a downturn. Should the stock market show further weakness in 2019, we are ready to put more money to work in strong franchises that will generate attractive future returns.

Kind regards,



Tom Stubbe Olsen
Portfolio Manager



Cédric Jacque
Portfolio Manager

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*Start date of the Mensarius Equity composite: 31 December 2007. Start date of the Equity ex-UK composite: 16 December 2016. Mensarius Equity track record refers to the gross performance (in EUR) of the composite Equity Strategy for the period 31/12/07–31/12/18. Mensarius Equity ex-UK track record refers to the gross performance (in EUR) of the composite Equity Strategy for the period 16/12/16 –31/12/18. Past performance is no indication or guarantee of future performance.